CAPITA

Contract Review Committee
MOD FSDC (Future Services Delivery Contract)

15 July 2019

(Final pack - reissued 14 July)

Commercial in Confidence

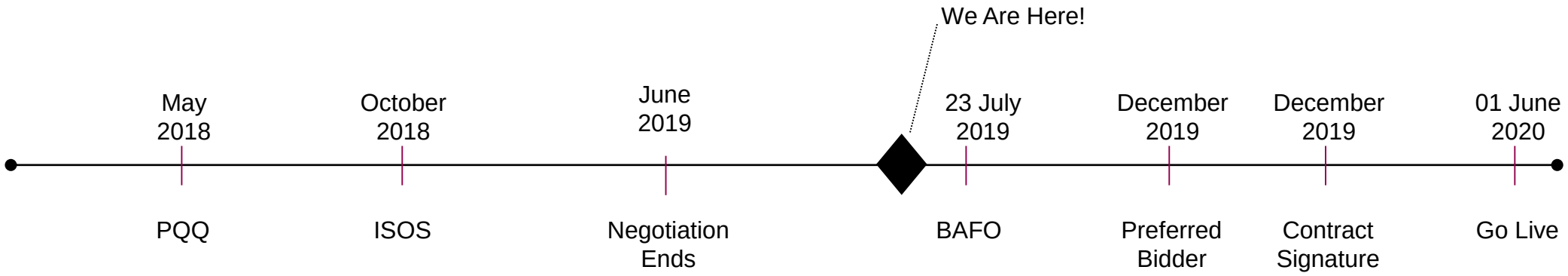
Purpose, agenda and timeline

Purpose

Approval is requested to submit binding Final Tender to MOD

Agree actions closed from previous Group CRC 18 October 2018

Ref	Point/Action	Name	Date
1	Need to ensure we stand up a robust bid team adequately resourced for the remaining stages of the bid with sufficient representation and input from all required areas. JL made the point that we need to be wary of, and learn lessons from, Capita's sins of the past where, to Capita's detriment, the bid engagement had not been as effective as it should.	Erika Bannerman	CLOSED – fully integrated bid team operated through procurement with extensive SME solution leadership, along with management oversight from PS. Additionally, core delivery team mobilised / identified to ensure ready our team is ready to commence Transition work as soon as contract signed in December. (Further detail on pages 37-38)
2	We need to ensure sufficient effort is applied in keeping the Fujitsu negotiations and sub-contract aligned with negotiations and submission points on the prime, including flow down of appropriate risk	Briony Saull / Mike Brunton / Surekha Patel	CLOSED – negotiation team formed including CIO ops catcher, Divisional Legal & Commercial owners. Successfully achieved flow down of commercial and delivery requirements to ensure required level of back-to-back obligations in the sub-contract, e.g. full service credit liability for Fujitsu caused failure. (Further detail on page 22)



Deal Summary

Future Service Delivery Contract (FSDC): provision of Armed Forces Pay and Pensions payments and administration, along with enabling Military HR support services. Includes priced options to run Compensation Schemes and Medals Office.

The FSDC contract will:

a. Enable the transformation, dis-aggregation, and modernisation of these services;
b. Continually develop change management and ways of working; and
c. Potentially expand the current contract scope by including services currently carried out in house (Note. Our price for these areas is included in our evaluated overall price – shows intent.)

Term: 7 years
Value: OJEU range £410m - £800m

Competition: DXC (incumbent, largely based on previous HP operation) and SSCL (the JV between Sopra Steria and Cabinet Office). No other bidders.

Evaluation weighting: 60% Price + 40% Technical Quality with emphasis on Transformation. Acceptance of contract terms at BAFO will be Pass/Fail. Other technical Pass/Fail areas too e.g. staff transfer. Note – Evaluation Criteria has been key area of shaping with the client (who has listened and made changes)

Partners: Fujitsu for large part of IT scope, inc. the Oracle JPA system. Fujitsu is scale, proven provider to MOD. Fujitsu represents c. 50% of cost base and full back-to-back contract terms have been negotiated, including pound for pound service credit back off.

What is the opportunity?

Client	Ministry of Defence (Defence Business Services)	
Capita Contracting Entity	Capita Business Services Limited	
Term	7 Years, services commencement 01 June 2020	
Value (TCV)	£364m	
Deal Gross and Net Margin	Gross margin £37m, net margin £25.5m	
Operational Catcher	Peter Telford, People Solutions	
Location(s)	MOD locations: Gosport, Glasgow, Norcross, Imjin Barracks Capita locations: Glasgow, Darlington, Mansfield	
Client Problem/Requirement	Long overdue transformation of services, including IT transformation e.g. move to cloud. Disaggregation of services. Service improvement programme. Lack of single view of data and single data platform.	
Services	See following slide	
People	Core: 463 FTE (inc. 73 temps via Manpower) of which 318 FTE to Capita, 145 FTE to Fujitsu, Options: Additional 164 FTE to Capita	Redundancies in Contract Year 1: 57 (inc. due to site relocations)
Technology	Oracle HRMS, migration to Cloud and more standardisation, introduction of new pension and compensation platform (using Hartlink). Introduction of new data and MI platform.	
Key Elements of Proposed Transformation	Year (Phase) 1: Consolidated contact centre live, print and scan centre live, online user portal live, Oracle simplification phase 1 complete	Year (Phase) 2: Move to cloud platform complete, Data/MI platform complete, Pensions/Compensation migration, ITSM capability assessment

Overview of Services

Overview

- 50,000 calls per month across 3 enquiry centres + 4,000 iSupport requests
- Disperses £22bn per annum to serving personnel and veterans
- Serves circa 22,000 unit HR professionals across MoD (£1bn/pa)

Payroll / Allowances / support to Military HR

- Delivery of MOD's Oracle HRMS - one of largest HR & payroll systems in Europe
- Provision of BPO services to ensure accurate pay of salary & related payments
- 275,000 regular users – 15,000 per day
- 11 different payroll types including Regular, Reserves and Protected
- 80 different payroll processes paying 300,000 salaries per month

Pensions

- Provision of pensions platform and scheme administration services
- 330k Actives : 480k deferred : 430k pensioners
- Approximately 2/3 the size of Teachers with 1.3m members across three schemes

Compensations

- Provision of platform and application processing for physical and mental conditions sustained by service personnel (exc. decision making)
- Two schemes to administer - WPS and AFCS with 150,000 annuities in payment
- 28,000 claims per annum with circa 11,000 currently in - flight

Records Management

- 9,000 ID Cards & 2,600 ID disc produced and despatched per month
- 310,000 statement of earnings printed and dispatched per month
- Document Handling Centre holding circa 1,000,000 personnel files (10km)
- Holds Wills for 108,000 active service personnel ready for immediate recall
- Issues 3,500 termination information packs per month

Medals Office

- 53,000 Medal applications assessed per annum (historic and current)
- 350 different types of award Civilian and Military
- 7,000 WW2 medals issued per annum

How will we delight the customer ?

Transformational partnership

Transformed **leadership**

- New relationship
- Business outcomes leadership, not technology
- Embracing modern technology
- Constructive, challenging delivery partner
- Relentless focus on FSDC outcomes

Transformed **ways of working**

- Open and collaborative
- Joint governance
- Long and short term focus
- New agile and hybrid change models
- Data and user experience driven
- Operational excellence
- Standards, training and investment in people

Transformed **delivery models**

- Disaggregated service model
- Leveraging industry centres of excellence
- Digital office, Workflow & RPA
- Greater insight and location independence
- User centred service design
- New technology architecture
- Simplified delivery of change

Transformation **enabling projects**

- New digital portals
- New MI and data platform
- New data and integration hub
- Hartlink for all compensation and pension schemes
- JPA enhancements, evergreening and move to cloud

What is our view of the win price?

DXC price

- Analysis has been completed on data from a variety of sources, including the people and third party costs which are fixed for all bidders.
- The target price to compete against DXC is determined to be £364m.
- We have managed to match this price in our proposed Final Tender, and we have also matched the rate card DXC are likely to use (which also forms part of the evaluation).
- If this analysis is correct then our scores will be very similar which allows the decision to be made on the quality score achieved (for the same price).

DXC			
Current contract - core			*Source*
Price	£	46,000,000	*Gov transparency data*
HR cost	£	16,495,260	*MoD Price Model*
Third party cost	£	11,400,000	*MoD Price Model*
Other cost	£	13,504,740	*Remainder*
Margin/OH £	£	4,600,000	
Margin/OH%		10%	*Intel data*
Reductions			
20% cost challenge	£	8,280,000	*Estimate after scope & FSDC compare*
TOTAL pa	**£**	**8,280,000**	
New annual price	**£**	**37,720,000**	
7-year price (core)	**£**	**264,040,000**	
Transformation	**£**	**60,000,000**	*Intel data*
Price ex options	**£**	**324,040,000**	
Veterans	**£**	**33,252,994**	*Less experienced*
Medals	**£**	**6,805,558**	*Less experienced*
Price incl options	**£**	**364,098,552**	

CAPITA

Note:

Capita costs attract O/H at 6.75% and Margin of 10%

The overhead costs of managing Fujitsu have been included as direct costs.

Margin of 5% has been added to Fujitsu's price to us, to (a) avoid double profit taking, and (b) to reflect the full flow down of commercial risk to Fujitsu for their scope

7-year price (core, transition)	**£**	**283,289,000**
Transformation*	**£**	**42,442,000**
** Note Fujitsu has transferred £7m transformation cost into run*		
Price ex options	**£**	**325,731,000**
Veterans	**£**	**31,939,000**
Medals	**£**	**6,518,000**
Price incl Options	**£**	**364,188,000**

SSCL price

- SSCL's target price has been more difficult to estimate. Limited information is available to compare their existing contract price points. However, the staff, property, and third party contract costs are largely fixed in the MOD FSDC financial model.
- There is a concern that SSCL may 'low-ball' the price in order to win. We have seen numerous examples where it appears SSCL do not understand how the MOD financial model, and true up mechanism, operates.
- We have raised repeated concerns with MOD that a low-ball bid may be received, and MOD has issued further guidance to all bidders on its model and evaluation process. However, we will not be able to beat a low-ball bid if the client fails to risk adjust such a price.

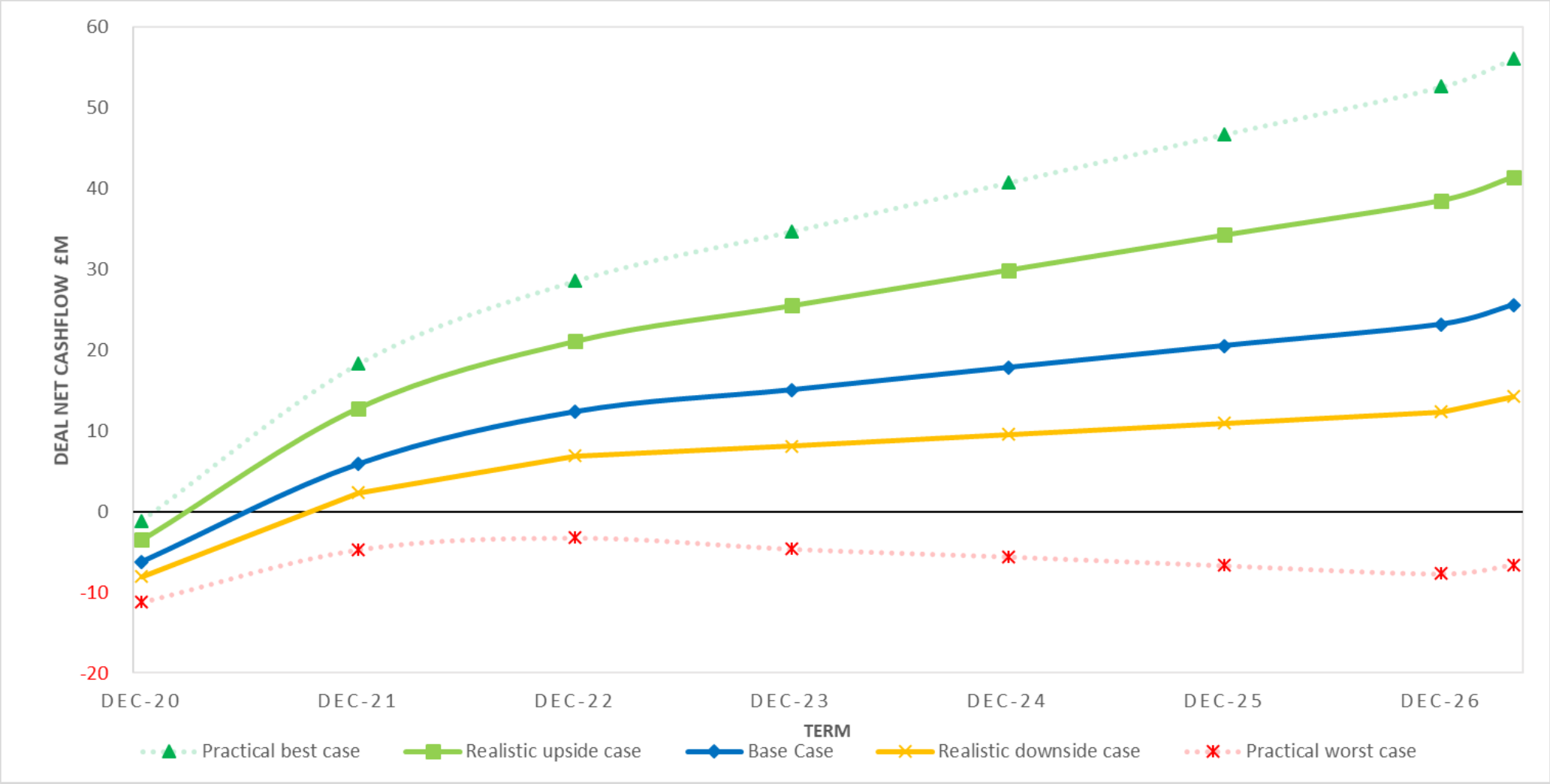
What is the potential impact of the key risks and opportunities?

Risks and Opportunities Identification

Category	Risk/Opportunity	At risk amount included in bid	Risk assumption already in bid	Downside Impact: Practical worst case	Downside Impact: Realistic downside case	Upside Impact: Realistic upside case	Upside Impact: Practical best case	Weighted Risk	Weighted Opportunity	Net Weighted R&O
		£m	£m	£m	£m	£m	£m	£m	£m	£m
Volumes	Service volumes vary from tendered levels	26.6	(0.90)	(3.4)	(1.2)	3.0	5.1			
Fujitsu	Subcontractor scope creep	(165.0)	(1.65)	(6.6)	(1.7)	0.8	1.6			
Change in Law	Cost of compliance not funded by client		(1.00)	(4.0)	(2.0)	0.0	1.5			
Service Credits	Breach of service levels	332.0	(2.08)	(6.7)	(2.1)	1.0	2.1			
McCloud	Funded and unfunded change cost		0	(0.3)	(0.1)	2.4	3.6		2.4	
Hartlink	Variance in implementation costs	(5.8)	(1.33)	(4.5)	(1.6)	1.3	2.8			
Change	Client spend on out of scope services	0.0		0.0	0.0	4.8	9.6		4.8	
Headcount	Reductions differ from forecast	(59.0)	(1.09)	(4.3)	(1.6)	1.6	2.4			
Redundancy	Redundancy assumptions incorrect	(5.5)	(0.36)	(2.4)	(1.0)	0.9	1.7			
Total Risks & Opportunities (included in bid)			**(8.41)**							
Total Risks and Opportunities (not included in bid)				**(32.1)**	**(11.3)**	**15.9**	**30.5**	**0.0**	**7.2**	**7.2**
Total Bid (Gross) Margin and impact of downside / upside cases			**37.0**	4.9	25.7	52.9	67.5			44.2
Total Capita (Net) Margin and impact of downside / upside cases *			**25.5**	(6.6)	14.3	41.4	56.1			

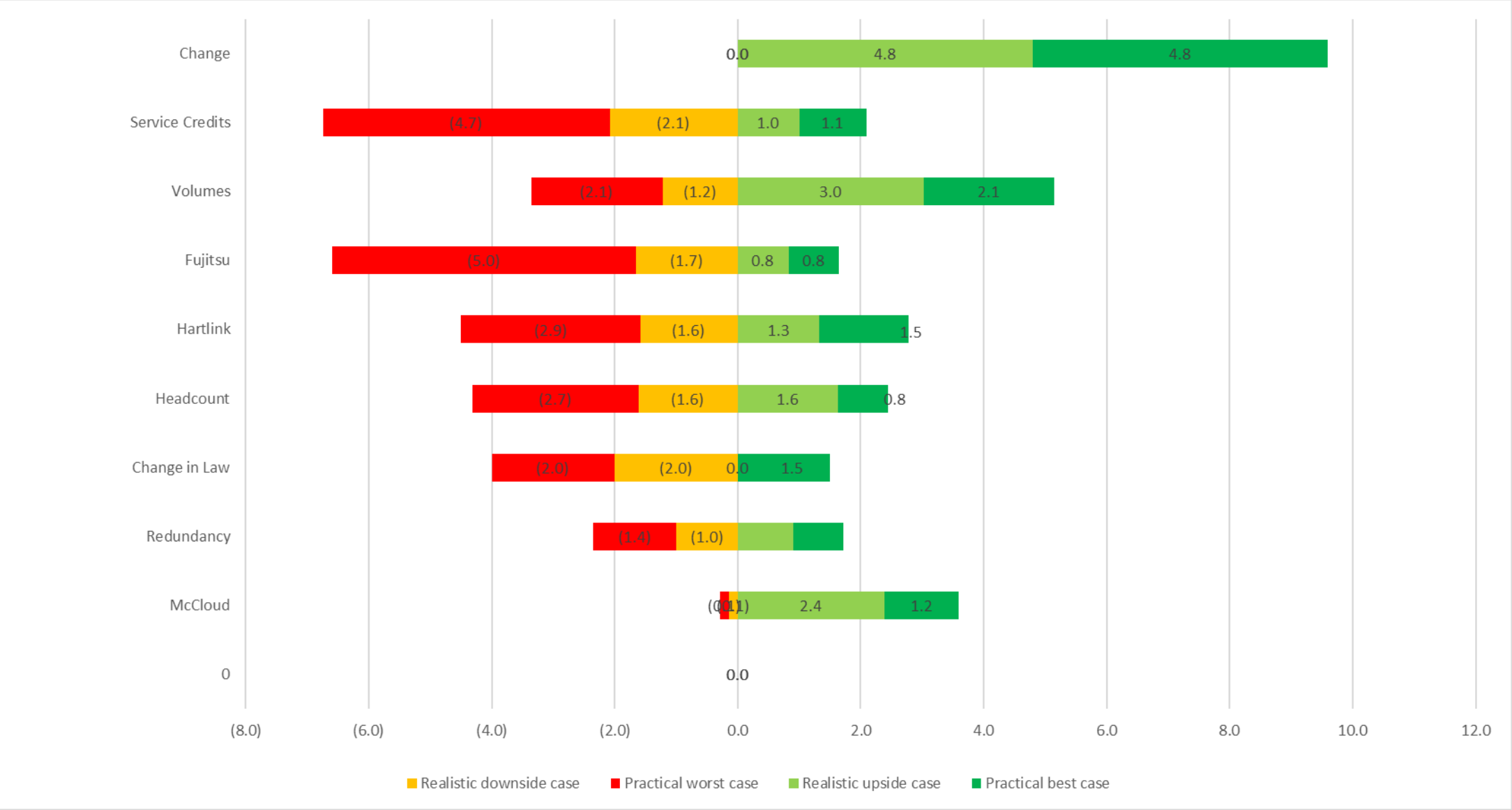
** Impact excludes any additional overhead that may be incurred if costs increase over and above the base case*

What is the cumulative Capita net cashflow?



What is the balance of risk & opportunity?

(£m)



How does the deal impact Capita Group?

Group Key Metrics

	£m	%
Total Contract Value	364.2	
EBIT	26.7	7.3%
PBT	25.5	7.0%
Peak working capital balance	3.3	
Average working capital balance	(12.8)	
Total Capex*	3.0	
Net Debt impact (excluding cash)	0.0	
Day one order book value	364.2	
Capital invested plus PCG / maximum liability invoked - Group maximum exposure	(106.4)	

*£3m Hartlink development incurred at Divisional level to be recovered from other customers and therefore not included in bid P&L and cash flows.

What is the Bid level NPV, IRR & Payback?

NPV & IRR & Payback Summary

	Bid Level (pre finance cost and corporate overheads)	Bid (Gross) Margin	NPV	IRR	Cashflow payback	DCF payback
		£m	£m	%		
1.	Base Case margin (Operating Cashflow)	37.0	24.1	97.2%	Payback: Oct 21 (Period 18)	Payback: Oct 21 (Period 18)
2.	Base case plus net weighted R&O	44.2	28.9	109.9%	Payback: Jul 21 (Period 15)	Payback: Aug 21 (Period 16)
3.	Realistic downside case	25.7	16.0	68.3%	Payback: Oct 21 (Period 18)	Payback: Oct 21 (Period 18)
4.	Practical worst case	4.9	1.1	16.7%	Payback: Aug 22 (Period 28)	Payback: Sep 24 (Period 53)

Bid Level Invested Capital plus PCG / maximum liability cap invoked scenario

Capital invested plus PCG / maximum liability cap invoked - bid maximum exposure	(63.0)	(74.9)	-24.5%	#N/A	#N/A
*Estimated NPV & IRR if deal runs to natural expiry**	(63.0)	(74.9)	-24.5%	#N/A	#N/A

** This assumes contract profit will recover immediately after any claim payments for breach, inline with original deal approved estimates. It is probable that either the contract would terminate early or if it were to continue, Capita would incur additional costs over and above the original estimates which may result in a write-off*

Memo: Weighted Average Cost of Capital (WACC) used for NPV / IRR:	*12.0%*

Note: Capital invested is based on peak negative cashflow balance over the start of the deal (circa 12months)

What is the sensitivity to movement on the deal net margin?

Net Margin Sensitivity

						Base Case					
% Net Margin variance from Base Case	**(10%)**	**(7%)**	**(5%)**	**(3%)**	**(1%)**	**7.0%**	**1%**	**2%**	**3%**	**4%**	**5%**
Deal Net Margin (£m)	(10.9)	0.1	7.3	14.6	21.9	**25.5**	29.2	32.8	36.5	40.1	43.8
Margin impact (£m)	(36.4)	(25.5)	(18.2)	(10.9)	(3.6)	**0.0**	3.6	7.3	10.9	14.6	18.2

Realistic downside & upside comparatives

Realistic Downside net margin %	**-3.1%**	**3.9%**	
Realistic Downside net margin £m	(11.3)	**14.3**	
Realistic Upside net margin %		**11.4%**	**4.4%**
Realistic Upside net margin £m		**41.4**	15.9

Profit & Loss

FSDC PROFIT & LOSS	Year	2020	2021	2022	2023	2024	2025	2026	2027	McCloud	Change
	7 Years	8 Months	12 Months	12 Months	12 Months	12 Months	12 Months	12 Months	4 Months	7 Years	7 Years
	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's
Payroll	**34,918**	3,310	4,966	4,966	4,966	4,966	5,019	5,045	1,682	**34,918**	**34,918**
Pension	**96,304**	9,130	13,695	13,695	13,695	13,695	13,841	13,914	4,638	**96,304**	**96,304**
Compensation	**87,136**	8,261	12,391	12,391	12,391	12,391	12,524	12,590	4,197	**87,136**	**87,136**
HR Admin	**141,733**	13,437	20,155	20,155	20,155	20,155	20,370	20,478	6,826	**141,733**	**141,733**
Service Handover	**4,097**	-	-	-	-	-	-	-	4,097	**4,097**	**4,097**
McCloud	**-**	-	-	-	-	-	-	-	-	**8,113**	**8,113**
Other Change	**-**	-	-	-	-	-	-	-	-	**-**	**28,000**
Total Revenue	**364,188**	**34,138**	**51,208**	**51,208**	**51,208**	**51,208**	**51,754**	**52,027**	**21,439**	**372,301**	**400,301**
Payroll	**118,313**	14,105	19,076	17,697	16,351	15,700	15,335	15,071	4,978	**124,013**	**133,849**
Pension contribution pass through	**10,072**	1,304	1,711	1,507	1,334	1,301	1,268	1,238	410	**10,072**	**10,072**
Other staff related	**2,856**	351	475	421	385	375	367	362	120	**2,856**	**2,856**
IT	**110,331**	10,164	21,261	17,039	15,169	14,382	13,942	13,785	4,589	**110,331**	**123,631**
Other operational	**22,047**	4,031	6,503	2,417	2,024	2,079	2,024	1,939	1,030	**22,047**	**22,047**
PCG	**200**	19	29	29	29	29	29	29	10	**200**	**200**
Sales commission	**1,014**	85	147	147	147	147	147	147	49	**1,014**	**1,014**
Transition	**1,772**	138	258	258	258	258	258	258	86	**1,772**	**1,772**
Transformation	**46,118**	128	598	3,571	9,617	9,661	9,661	9,661	3,220	**46,118**	**46,118**
Risk	**8,683**	1,431	2,131	960	960	960	960	960	320	**8,683**	**8,683**
Redundancy	**5,760**	-	3,986	1,112	661	-	-	-	-	**5,760**	**5,760**
Total Direct Cost	**327,165**	**31,756**	**56,174**	**45,158**	**46,934**	**44,891**	**43,991**	**43,449**	**14,812**	**332,865**	**356,001**
Bid (Gross) Margin	**37,023**	**2,382**	**-4,966**	**6,049**	**4,274**	**6,317**	**7,763**	**8,578**	**6,627**	**39,436**	**44,300**
Bid (Gross) Margin %	**10.17%**	7%	(10%)	12%	8%	12%	15%	16%	31%	**10.59%**	**11.07%**
Central OH	**10,283**	1,124	1,866	1,466	1,399	1,346	1,324	1,303	454	**10,283**	**10,283**
EBIT	**26,740**	**1,258**	**-6,832**	**4,583**	**2,874**	**4,971**	**6,439**	**7,275**	**6,173**	**29,153**	**34,017**
EBIT %	**7.34%**	4%	(13%)	9%	6%	10%	12%	14%	29%	**7.83%**	**8.50%**
Cost of Money	**1,196**	108	404	258	102	97	95	93	39	**1,216**	**1,285**
Capita (Net) Margin	**25,544**	**1,150**	**-7,236**	**4,325**	**2,772**	**4,874**	**6,344**	**7,182**	**6,133**	**27,937**	**32,732**
Capita (Net) Margin %	**7.01%**	3%	(14%)	8%	5%	10%	12%	14%	29%	**7.50%**	**8.18%**
Average Annual Capita (Net) Margin	**3,010**									**3,301**	**3,943**
Non Controlling Interest											
Net Margin to Capita	**25,544**	**1,150**	**-7,236**	**4,325**	**2,772**	**4,874**	**6,344**	**7,182**	**6,133**	**27,937**	**32,732**
Net Margin to Capita %	**7.01%**	3%	(14%)	8%	5%	10%	12%	14%	29%	**7.50%**	**8.18%**

Balance Sheet

Balance Sheet	Average	2020	2021	2022	2023	2024	2025	2026	2027
		1	2	3	4	5	6	7	8
	£000s	£000's	£000's	£000's	£000's	£000's	£000's	£000's	£000's
Tangible Assets		-	-	-	-	-	-	-	-
Goodwill/ Intangible Assets		-	-	-	-	-	-	-	-
Contract Fulfilment Asset - Transition		1,634	1,376	1,118	860	602	344	86	(0)
Contract Fulfilment Asset - Transformation		8,201	32,473	41,790	32,203	22,542	12,881	3,220	(0)
Contract Fulfilment Asset - Cost to Obtain		421	782	635	488	342	195	49	0
Trade Creditors		(1,699)	(1,893)	(1,494)	(1,271)	(1,214)	(1,182)	(1,177)	-
VAT Creditors/ Debtors		(945)	(2,421)	(671)	(474)	(462)	(447)	(444)	-
Creditors		**(2,644)**	**(4,315)**	**(2,165)**	**(1,745)**	**(1,676)**	**(1,629)**	**(1,621)**	**-**
Accrued Income		-	-	-	-	-	-	-	-
Debtors		5,548	4,469	3,600	3,323	3,217	3,139	3,097	-
Deferred Income		(6,548)	(46,000)	(58,483)	(48,476)	(36,535)	(23,049)	(8,589)	(0)
Working capital		**6,613**	**(11,215)**	**(13,504)**	**(13,345)**	**(11,507)**	**(8,117)**	**(3,758)**	**(0)**
Average Working Capital		3,306	(2,301)	(12,359)	(13,424)	(12,426)	(9,812)	(5,938)	(1,879)
Redundancy Provision		783	(725)	(586)	(679)	(418)	(166)	(0)	(0)
Capital employed		**7,396**	**(11,940)**	**(14,090)**	**(14,024)**	**(11,925)**	**(8,283)**	**(3,758)**	**(0)**
Average Capital Employed		3,698	(2,272)	(13,015)	(14,057)	(12,974)	(10,104)	(6,020)	(1,879)
Cash	**37,023**	**(5,014)**	**9,355**	**17,555**	**21,763**	**25,981**	**30,101**	**34,154**	**37,023**
Non Controlling Interest									
NET ASSETS		**2,382**	**(2,584)**	**3,465**	**7,739**	**14,056**	**21,818**	**30,396**	**37,023**
Retained Profit		**2,382**	**(2,584)**	**3,465**	**7,739**	**14,056**	**21,818**	**30,396**	**37,023**

Cashflow

Cashflow	Total 7 Years £000s	2020 8 Months £000's	2021 12 Months £000's	2022 12 Months £000's	2023 12 Months £000's	2024 12 Months £000's	2025 12 Months £000's	2026 12 Months £000's	2027 4 Months £000's
Transition - Monthly Cash Inflow	1,955	1,955	-	-	-	-	-	-	-
Transformation - Monthly Cash Inflow	50,604	1,824	31,315	17,465	-	-	-	-	-
Fixed - Monthly Cash Inflow	311,629	31,359	60,424	47,094	41,478	39,372	38,346	37,610	15,947
VAT - Monthly Cash Inflow	72,838	7,028	18,348	12,912	8,296	7,874	7,669	7,522	3,189
Operating Cash Inflows (inc VAT)	**437,026**	**42,166**	**110,087**	**77,471**	**49,773**	**47,247**	**46,015**	**45,131**	**19,136**
Staff Costs - BAU - Monthly Cash Outflow	(131,241)	(15,717)	(21,268)	(19,629)	(18,071)	(17,376)	(16,971)	(16,671)	(5,538)
Property Costs - Monthly Cash Outflow	-	-	-	-	-	-	-	-	-
IT Costs - Monthly Cash Outflow	(110,331)	(8,509)	(21,220)	(17,392)	(15,273)	(14,438)	(13,974)	(13,789)	(5,736)
All Other Costs - Monthly Cash Outflow	(22,247)	(4,050)	(6,531)	(2,446)	(2,052)	(2,108)	(2,052)	(1,968)	(1,040)
Redundancy Costs - Monthly Cash Outflow	(5,760)	(783)	(2,319)	(1,294)	(685)	(261)	(252)	(166)	-
Risk - Monthly Cash Outflow	(8,683)	(1,431)	(2,131)	(960)	(960)	(960)	(960)	(960)	(320)
Lease Finance Costs - Monthly Cash Outflow	-	-	-	-	-	-	-	-	-
Bid Costs - Monthly Cash Outflow	-	-	-	-	-	-	-	-	-
VAT - Monthly Cash Outflow	(72,838)	(6,082)	(16,872)	(14,662)	(8,493)	(7,886)	(7,685)	(7,525)	(3,633)
Operating Cash Outflows (inc VAT)	**(351,100)**	**(36,572)**	**(70,340)**	**(56,383)**	**(45,535)**	**(43,029)**	**(41,894)**	**(41,079)**	**(16,267)**
Net Operating Cash Flows (inc VAT)	**85,926**	**5,594**	**39,747**	**21,087**	**4,239**	**4,217**	**4,121**	**4,053**	**2,869**
Contract Fulfilment Asset - Transition	(1,772)	(1,772)	-	-	-	-	-	-	-
Contract Fulfilment Asset - Transformation	(46,118)	(8,329)	(24,871)	(12,888)	(30)	-	-	-	-
Contract Fulfilment Asset - Cost to Obtain	(1,014)	(507)	(507)	-	-	-	-	-	-
Investing Cash Flows - Contract Fulfilment Assets	**(48,903)**	**(10,607)**	**(25,378)**	**(12,888)**	**(30)**	**-**	**-**	**-**	**-**
Investing Cash Flows- Capex	-	-	-	-	-	-	-	-	-
Investing Cash Flows- Investment	-	-	-	-	-	-	-	-	-
Cash Flow before Financing	**37,023**	**(5,014)**	**14,369**	**8,199**	**4,209**	**4,217**	**4,121**	**4,053**	**2,869**
Group Overhead and cost of money (non cash)	(11,479)	(1,232)	(2,269)	(1,725)	(1,502)	(1,443)	(1,418)	(1,396)	(493)
Net Cash Flow	25,544	**(6,246)**	**12,100**	**6,475**	**2,707**	**2,775**	**2,703**	**2,657**	**2,375**
Cumulative Cash Flow		(6,246)	5,854	12,328	15,035	17,810	20,512	23,169	25,544

Pre CRC Sign Offs Control sheet (state where not applicable to deal)

Area	Deal Component	Title	Name	Date Approved (or state if n/a)
Divisional Management	Overall deal	Business unit MD Executive Officer	Erika Bannerman	11 July 2019
Finance	Deal financials/Bid model	Divisional FD Group Finance	Alex Moffatt Jelena Mladenovic / Tory Rogers	11 July 2019 8 July 2019
Commercial	Commercials/ICA's	Divisional CD	Briony Saull	11 July 2019
Legal	Contract	Divisional LD	Surekha Patel	11 July 2019
Operations	Operational Solution/Cost base/SLA's	Divisional Ops Director Business Unit Ops Director	Peter Telford	10 July 2019
Transformation	Transformation Plan	Divisional Transformation Director Group Transformation	Rob MacDougall Steve Jordan	11 July 2019
Risk and Compliance	Risk and compliance (incl. cyber security and staff/IT security requirements on Public sector contracts).	Divisional Risk Director Director Risk & FS Compliance	Tim Green Kieran Murray	3 July 2019
Medical	Clinical Risk	Senior Medical Officer	n/a	n/a
HR	TUPE	Divisional HR Director	Scott Hill	10 July 2019
Group Treasury	PCG	Group Treasurer	Craig Nunn	Initial approval 16 May 2019. Final approval requested, response due
Group Insurance	Insurance requirements	Group Insurance Director	Philip Dietz	Approved at Outline Submission, no changes since
Group Investment Finance	Investment Finance (CFA's >£1m)	Director of Investment Finance	Andy Timlin	11 July 2019
Group Tax	Tax VAT compliance	Head of Tax Head of VAT	Mark Balatoni Rhonda Rickwood	1 August 2018 (no changes since) 19 June 2019
Group Property	Property	Group Property Director	Deborah Parker / Bruce Mason	Due 12 July 2019
Pensions	Pensions	Group Pensions	Hillary Brookes	Due 12 July 2019
Group Procurement	Material sub-contractor	Chief Procurement Officer	John Cromack	Due 12 July 2019

Supporting Information

Tornado - Change

Category	Description	Risk in base case			Downside Impact		Upside impact	
			Amount		Practical worst case	Realistic downside case	Realistic upside case	Practical best case
		Exposure	£k	Rationale				
Change	Client spend on out of scope services	Upside margin	0	No change included as not contracted	No change materialises	No change materialises	£4m change revenue per year. 50% Fujitsu - 5% margin, no OH 50% Capita - 25% margin, 6.75% OH £4,800k	£8m change revenue per year. 50% Fujitsu - 5% margin, no OH 50% Capita - 25% margin, 6.75% OH £9,600k

- Current contract with DxC has resulted in significant change revenue above the core contract, with transparency data indicating spend of between £8m and £13m per annum.
- No change revenue has been included within our base case, meaning there is no downside impact.
- Within our bid, we have included rate card for change as follows:
  - Capita change rate card at 6.75% overhead and 25% margin
  - Fujitsu change rate card at no overhead and 5% margin
- Realistic upside case assumes we achieve a total £4m change revenue for each of the 7 years, shared 50%/50% between Capita and Fujitsu, priced on our rate card proposal. This drives additional net margin of £4.8m.
- Practical best case assumes a total £8m change revenue on this same basis. This drives additional net margin of £9.6m.

Tornado – Service Credits

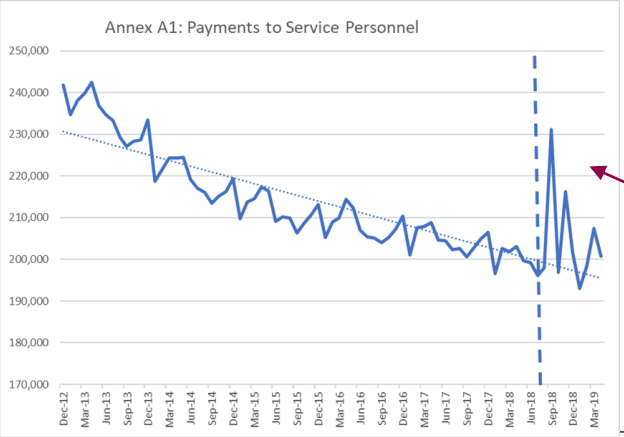
Category	Description	Risk in base case			Downside Impact		Upside impact	
			Amount		Practical worst case	Realistic downside case	Realistic upside case	Practical best case
		Exposure	£k	Rationale				
Service Credits	Breach of service levels	£26m (all service levels failed in all months for 7 years	2,080	12 service levels deemed "amber" risk. 1 failure pa yrs 1-3 0.5 failure pa yrs 4-7	3 failures pa, all amber SLAs for all 7 years, less costed risk £8,780k-£2,080k=£6,700k	2 failures pa all amber SLAs yr 1-3 1 failures pa all amber SLAs yr 4-7, less costed risk £4,160k-£2,080k=£2,080k	0.5 failures pa all amber SLAs yr 1-3 0.25 failures pa all amber SLAs yr 4-7 £1,040k-£2,080k=£1,040k	No failures, risk pot not needed £2,080k

- Contract contains 70 SLAs, of which 44 will be delivered by Capita and 26 Fujitsu (with full flow through of incurred service credits).
- Of Capita's, 12 SLAs considered to be "Amber" risk, meaning some chance of breach, most in Pensions service (see later slide). Assessment completed by business units against existing contracts (noting service levels are similar, but not identical between contracts), with results reviewed by control function.
- Risk mitigation results from :
  - Service credit holiday for first 3 months;
  - Initial service take on will be with the same staff and same systems, continuing for 2 years until transformation complete. Authority has released 7 years service level metrics which indicate failure as being very rare (most service levels have not changed with exception of new services).
  - Failure arising from data inaccuracies treated as Authority cause, with liability relief and cost coverage;
  - Remediation of any outstanding work in progress at service commencement (project and BAU) able to be charged to customer;
  - Customer behaviour is demonstrably focused on avoiding failure through collaborative working.
- Residual risk will be operationally managed through management controls being applied to Amber SLAs, validated between contract award and service commencement (5 months) using the Operational Control Framework (OCF). Further, full Workflow Plus will be deployed with Hartlink (Nov 21), with Pensions and Compensation through AOM/EG Verint/Capita India tools (costed into model). Payroll workflow will be deployed in 2023 through AG Software
- Operational assessment is that there remains a risk of breaching the Amber service levels, but this would not necessarily occur once every year for each level. As such, we have included in the cost base a financial risk coverage of £2.1m (6% of total service credit exposure), allowing for 1 breach per annum in years 1-3, and 0.5 in years 4-7 (post transformation, and Hartlink).
- Modelled realistic cases include halving or doubling these breaches.
- Note there is some risk of service level failure on Hartlink go-live which will be mitigated by a focus on UAT.

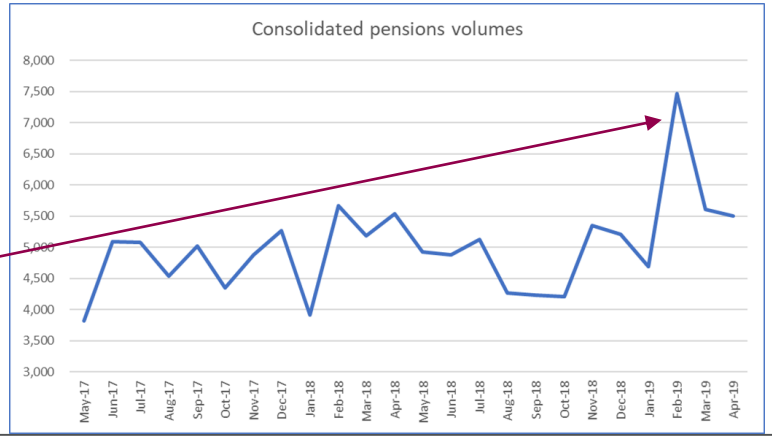
Tornado - Volumes

Category	Description	Risk in base case			Downside Impact		Upside impact	
			Amount		Practical worst case	Realistic downside case	Realistic upside case	Practical best case
		Exposure	£k	Rationale				
Volumes	Volumes shift within fixed price volume bands, e.g. compensations increase resulting from war	+/-£4,250k Pensions - +/- £900k Payroll: +/- £350k Compensation +/- £3m	900	30% of maximum exposure on Compensation increases	Downside exposure less costed risk £4250k-900k = £3,350k	50% of downside exposure less costed risk £2125k-£900k = £1,225k	50% of upside exposure plus costed risk £2,125k+900k = £3,025k	Upside exposure plus costed risk £4,250+£900k = £5,150k

- Contract fixed price within volume bands as follows:
  - HR Payroll and Pensions: +/-20% of total number of personnel on payroll. *Costs mainly fixed*
  - Compensations: +/-10% of total claims and appeals received. *Costs mainly variable*
- No costed risk in base case for HR Payroll, as considered low risk of volume fluctuations due to:
  - HR Payroll declining by 20% over past 7 years, and expected to continue to reduce – low volume risk. Note no benefit included in case for ongoing volume reductions.
  - Pension volumes have been relatively flat over past 2 years, and also not expected to increase.
- Compensation payments are more variable, in that volume spikes can be driven by unpredictable events such as war. 10% variation in volumes could lead to +/- £3m cost. As such, costed risk included in base case of £900k (30% of maximum). Note if this risk crystallises it may be offset to an extent by ongoing reductions in payroll volumes.
- Best and worst case include costs or benefits of volumes reaching minimum or maximum of fixed price volume banding, incurring a cost/benefit to:
  - HR Payroll of £250k; and
  - Pensions of £900k.



CHARGEABLE PROJECT: Spike in volumes resulted from late implementation of 2018 pay award, and resultant additional calculations for resulting backdated pay and pension entitlements.



Tornado - Fujitsu

Category	Description	Risk in base case			Downside Impact		Upside impact	
			Amount		Practical worst case	Realistic downside case	Realistic upside case	Practical best case
		Exposure	£k	Rationale				
Fujitsu	Fujitsu scope is not complete leading to change cost	£8,250k	1,650	20% of exposure	Maximum exposure less costed risk £8,250k-£1650k = £6,600k	40% of maximum exposure less costed risk £3,300k-£1,650k = £1,700k	50% of risk pot needed £825k	Scope is correct, risk pot not needed £1650k

- Fujitsu will be a significant component of service delivery (£165m cost), and may materially impact financial outcomes through:
  - Deficient scoping of requirements within the subcontract resulting in unforecast Change spend to Capita which may not be able to be passed to the Authority.
  - Service failures leading to Capita liability to the Authority (service credits and general claims).
- Risk of Fujitsu misalignment/failure has been largely mitigated through:
  - Achievement of very close alignment between Capita's contract with MOD, and our Fujitsu subcontract, with almost full flow down of terms.
  - Pound for pound compensation by Fujitsu to Capita for any service credits paid by Capita resulting from Fujitsu breach of its service levels (26 of 70)
  - Significant work completed on creation of detailed contractual scope specification, including back to back assignment of Fujitsu deliverables under head contract.
  - Fujitsu being closely aligned with Capita solutioning team, and as a result taking ownership of its part of the integrated solution.
- There is residual risk in that the total subcontract liability cap is less than Capita's under the main agreement (£100m aggregate cap). However, the subcontract still contains significant liability coverage, especially in the riskier early years (£45m-£60m, depending on the nature of the breach – see table below).
- Given the above, we have included a costed risk of £1.65m (1% of subcontract value). Scenarios have been modelled from:
  - Best case being this costed risk is not required; and
  - Worst case being an additional 5% spend (£8.25m).

	2020	2021	2022	2023	2024	2025	2026	2027
Spend	£ 17,173,978	£ 30,103,789	£ 25,140,187	£ 22,785,066	£ 21,556,594	£ 21,006,094	£ 20,710,178	£ 6,888,663
Liability - 150%	£ 45,155,684	£ 45,155,684	£ 37,710,281	£ 34,177,598	£ 32,334,891	£ 31,509,141	£ 31,065,267	£ 10,332,994
Liability - 200%	£ 60,207,579	£ 60,207,579	£ 50,280,374	£ 45,570,131	£ 43,113,189	£ 42,012,188	£ 41,420,356	£ 13,777,326
	Annualised for year one as only 6.5 months							

Tornado - Hartlink

Category	Description	Risk in base case			Downside Impact		Upside impact	
			Amount		Practical worst case	Realistic downside case	Realistic upside case	Practical best case
		Exposure	£k	Rationale				
Hartlink	Calculation complexity could lead to additional build cost	Difficult to quantify. Previous builds significantly undercosted. Lessons learned built into costings	1.33	23% of build cost	100% increase in build cost less costed contingency £5,800k-£1,330k = £4,500k	50% increase in build cost less costed contingency £2,900k-£1,330k = £1,600k	Build cost to traget, risk pot not needed £1,330k	25% reduction in build cost, risk pot not needed £1,456k+£1,330k = £2,786k

- Hartlink build costed at £7.1m (comprising build estimate of £5.8m and risk of 1.33m (23%)). This will include build costs for Pensions and Compensation.
- Hartlink build costs have traditionally been significantly higher than forecast, which has resulting from underestimating the complexity of pension calculations and data (see table below).
- The FSDC has mitigated the risk of cost overrun as a result of:
  1. More accurate costing due diligence information have been provided by the customer to understand complexity, including calculation builds.
  2. We have negotiated commercial protection over data inaccuracies in contract inherited at service commencement.
  3. Work is being completed ahead of award to build requirements and determine potential reuse of calculations.
  4. Cossan validating that 45 day estimate per calculation is in line with industry standard
  5. More governance included over build programme.
- As a result, build cost estimates included in FSDC costings are significantly higher than those in previous programmes.
- Given historic performance, we have included a scenario of both 50% and 100% increases in build cost. However, given the accuracy of costing, we consider that there are reasonable upside cases where the programme does not require the risk costing, or in fact delivers at less than cost.

Project	Cost at bid	Cost Actual/Forecast
NICS	£922k	£4,802k (actual)
Royal Mail	£1,444k	£4,183k (forecast)
Unilever	£659k	£1,608k (forecast)
Diageo	£595k	£1,487k (forecast)

Tornado - Headcount

Category	Description	Risk in base case			Downside Impact		Upside impact	
			Amount		Practical worst case	Realistic downside case	Realistic upside case	Practical best case
		Exposure	£k	Rationale				
Headcount	Headcount reductions assumed in case are either not met or exceeded	£59m cost reduction assumed in case. £5.4m not assigned to specific initiatives ("efficiency savings"	1.09	20% of efficiency savings	No efficiency savings made, additional FTE cost less costed risk £5,406k-£1,092k = £4,314k	50% forecast efficiency savings made, additional FTE cost less costed risk £2,250-£1,092 = £1,611k	Additional 5% savings from efficiency base plus costed risk £541k+£1,092k=£1,633k	Additional 25% savings from efficiency base plus costed risk £1,352k+£1,092k=£2,444k

- Case includes total headcount cost reduction benefits of £59m.
- Of this spend, £5.5m is not associated with specific initiatives, and relies on efficiency improvement.
- We have included a risk cost of £1.1m against this benefit (20%).
- Upside and downside cases have been included ranging from none of this efficiency savings being realised to an additional 25%.
- Interventions for each activity have been reviewed and align with headcount reduction.
- Additionally, and not included in modelling, there is potentially further opportunity to deploy additional technology, e.g. RPA, chatbots; as well as innovation created by Capita's 'agile squad'.

Tornado – Change in Law

Category	Description	Risk in base case			Downside Impact		Upside impact	
			Amount		Practical worst case	Realistic downside case	Realistic upside case	Practical best case
		Exposure	£k	Rationale				
Change in Law	Compliance costs not able to be passed onto client	£5,000k	1,000	20% of exposure	Maximum exposure less costed risk £5,000k-£1,000k = £4,000k	£3,000k in additional cost less costed risk £3,000k-£1,000k = £2,000k	Base case correct £0	Specific change in law funded by client, additional NM £1,500k (circa £6,000k revenue)

- Contract allocates risk/costs of making changes to services as a result of changes in law as follows:
  - MoD funded Change: changes in law specific to the business of MOD as the provider of the U.K. armed forces unless they also affect a Comparable Supply (supply of services that are the same or similar to FSDC Services to another customer of Capita);
  - Capita funded Change: Changes in Law where the change is of a general legislative nature (including taxation or duties of any sort affecting Capita) or which affects a Comparable Supply.
- As a result of these definitions, there is some risk that Capita will be required to fund some unexpected remedial activity. However, we would also expect to have some funded remediation which will attract additional margin and overhead as follows:
  - Capita change rate card at 6.75% overhead and 25% margin
  - Fujitsu change rate card at no overhead and 5% margin
- This is difficult to quantify, however, we have included a costed risk of £1m, and included no upside benefit.
- In terms of scenarios, we have included:
  - Worst case of £5m unfunded change
  - Downside case of £3m unfunded change
  - Upside case of release of the £1m costed risk as no unfunded change eventuates
  - Best case of an additional £6m revenue at 25% NM

Tornado - Redundancy

Category	Description	Risk in base case			Downside Impact		Upside impact	
			Amount		Practical worst case	Realistic downside case	Realistic upside case	Practical best case
		Exposure	£k	Rationale				
Redundancy	Redundancy assumptions incorrect	£2,717k	0.36	13% of total risk	All redundancies payable less costed risk £2,717k-£360k=£2,357k	50% redundancy savings do not materialise less costed risk £1359k-£360k = £999k	Additional 20% savings in redundancy plus costed risk 0.2*2,717k+£360k=£903k	Additonal £50k savings in redundancy 0.5*£2,717k+£360k = £1,718

- From total in-scope TUPE cohort of 627 FTE, as a result of our transformation programme and efficiency interventions over the 7 year term, we forecast that this total will reduce by 199.7 FTE. Note: this reduction does not take into account the increases in headcount at Capita sites in Glasgow, Darlington and Mansfield as services are relocated to our existing capabilities.
- Current assumptions on redundancy assume a total redundancy cost of £5.76m. Note that we have reduced the total full redundancy exposure by £2.7m, based on the assumption that:
  - 19 staff will be removed without redundancy (temps)
  - 63 staff will leave through attrition (including staff reaching retirement age).
- Given the solution includes the retention of additional temps, mitigation would be that additional reductions could be sourced through temp staff base in the event that attrition assumptions are not met.
- Further mitigation could be achieved once actual WIP, customer requested Changes and the McCloud remediation requirements are known.
- We have also included a costed risk of £360k.
- Downside impact scenarios are based on:
  - Worst case being no attrition occurs and redundancy is fully funded.
  - Downside case being that only 50% of reductions are achieved.
- Upside impact scenarios are based on release of costed risk and:
  - Realistic case being an additional 20% savings.
  - Best case being an additional 50% savings.

Tornado - McCloud

Category	Description	Risk in base case			Downside Impact		Upside impact	
			Amount		Practical worst case	Realistic downside case	Realistic upside case	Practical best case
		Exposure	£k	Rationale				
McCloud	Could lead to additional calls to contact centre and remediation		0	Downside risk seen as unlikely, upside not contracted	£50k calculator update 75% increase in response team for 6 months (16 FTE) £286k	£50k calculator update 50% increase in response team for 3 months £137k	100 FTE, £38k fully loaded, 18 months, 25% NM, 6.75% OH £2,400k	150 FTE, £38k fully loaded, 18 months, 25% NM, 6.75% OH £3,600k

- With the rejection of the Crown appeal, it appears highly likely that the McCloud judgment will be upheld and require implementation.
- The FSDC contract notes that any out of scope activities required to comply with the judgment are chargeable.
- McCloud remediation activities will involve:
  - In scope and non-chargeable services, largely limited to dealing with the updating of the web calculator and increases in contact centre calls by people seeking information on the impact of the judgment on pension valuations; and
  - Out of scope and chargeable activities, including the updating of calculations within the pension platform (Equniti/Hartlink).
- Teachers Pension has not experienced any increases in call centre volumes from the judgment (noting that this may occur once pension calculations are required to be updated).
- It is not clear whether any material increase in calls would actually eventuate. However, as a downside risk we have included a realistic downside case of 11 additional FTEs for 3 months, and practical worst case of 16 FTE for 6 months.
- Current estimates from Teachers Pensions is that remediation under that agreement would require 300 FTE for 18 months. As a conservative estimate, we have modelled upside impacts of:
  - Upside case: 100 FTE for 18 months, at £38k fully loaded salary, 6.75% overhead and 25% net margin (as per ratecard)
  - Best Case: 150 FTE for 18 months on same assumptions.
  - Note that this work is not within Fujitsu scope, so would be performed entirely by Capita.

Key Risks (1)

#	Risk	Impact	Pre-mitigation	Mitigation and Comments	Post-mitigation
A	Information regarding TUPE, third party contracts and existing assets provided ,on which the bid solution and price is based, is incorrect or incomplete	Pricing may be incorrect reducing profitability. Inability to deliver Service on take on	Critical concern	• True up mechanism for cost assumptions around TUPE, third party contracts and assets included in the Allowable Assumptions regime • Full information will be released during transition, where delivery shortfalls can be identified and addressed and recovered through protections built in via the Allowable Assumptions regime and the Authority Responsibilities.	At tolerance
B	Scope / Requirements for Fujitsu against which they have solutioned / priced is are not complete / there are gaps. Contractual arrangements with Fujitsu are not back to back; a material failure occurs and Capita bear that risk as they cannot flow it down to recover	Price increases to deliver gap in requirements identified. Cost of Fujitsu failure borne by Capita Fujitsu not aligned to final solution –resulting in a delay in transformation deferring cost recovery and reducing profit.	Critical concern	• Fujitsu worked alongside Capita to design solution and has bought into it. • Negotiated subcontract has achieved near full back off of client obligations and remedies (except for overall liability cap). • Detailed scope of work for Fujitsu developed and priced against – some work to do on service levels • Subcontractor governance requirements built into costs, including IT Director	At tolerance
C	McCloud – as an employer of staff entitled to be in the civil service pension scheme, there is a risk that the Employment Tribunal or government determines the remedy is an employer cost which cannot be treated as an employer contribution, and so cannot be passed through to the Authority	Cost overrun	Critical Concern	• Increase in employer contribution would be passed directly through the Authority. • Actuarial assessment is that as this is an unfunded scheme, treatment aside from an increase in contribution rates (which are passed to MoD as passthrough) would be very unlikely.	At tolerance

Key Risks (2)

#	Risk	Impact	Pre-mitigation	Mitigation and Comments	Post-mitigation
D	Incorrect historic data exists at service commencement which is discovered post service commencement which causes data integrity issues which may incur contractual liabilities or require remediation activity	Cost of remediation activity and / or Failure Charges	Critical Concern	• Contract specifies that errors or incompleteness of data prior to service commencement is deemed an Authority Cause, providing cost coverage for remediation and liability relief.	At tolerance
E	Personal and / or Sensitive Data breach	Fines in line with GDPR legislation, reputational damage, termination leading to cost under recovery	Critical Concern	• Significant customer requirements for IT security within solution, and designed to be GDPR compliant. • ISO27001 certification costed into solution. • Info Sec have reviewed and are comfortable with solution.	Within tolerance
F	Key Performance Indicators failed for operational reasons	Failure Charges increase resulting in a deterioration of profit	Uncomfortable	• Inclusion of 3 month service credit holiday. • Key Performance Indicators have all been operationally assessed against the solution provided. 12 KPIs have been assessed as “Amber” and none “Red”. 2.1m has been risk costed into the base case to compensate for the assessed level of risk.	Within tolerance
G	Work in Progress on service commencement is high and cannot be delivered from Day 1	Staff distracted from our transformation delivery, putting plan at risk Cost overrun due to additional staff required to clear WIP and / or KPI failures	Uncomfortable	• Allowable Assumption regime includes there being no WIP at Service Commencement, meaning all remediation / backlog is chargeable • WIP to be fully understood during transition, and resolved during 3 months post service commencement	At tolerance

Cash position in 2020

- Due to the milestone payment regime the cash balance in 2020 is -£5m.

- Post contract award we will have the opportunity to update all transition and transformation plans. As part of this exercise we will explore opportunities to bring the delivery dates (and hence payment) forward into 2020.

	Milestone	Delivery Date	Milestone Invoice	Retention invoice	Milestone value	Milestone Invoiced	Retention Invoiced	Capita %	Fujitsu %
2	JPAM_PM_02	13-Feb-21	28-Feb-21	31-Jan-22	2,524,338	2,019,471	504,868	18.9%	81.1%
6	CS_PM_01	13-Feb-21	28-Feb-21	30-Nov-22	438,489	350,791	87,698	100.0%	-
7	CS_PM_02	13-Mar-21	31-Mar-21	30-Nov-22	491,189	392,951	98,238	100.0%	-
14	PC_PM_01	13-Dec-20	31-Dec-20	31-Jul-22	1,003,818	803,055	200,764	100.0%	-
15	PC_PM_02	13-Feb-21	28-Feb-21	31-Jul-22	679,021	543,217	135,804	100.0%	-
Total					5,136,855	4,109,484	1,027,371		

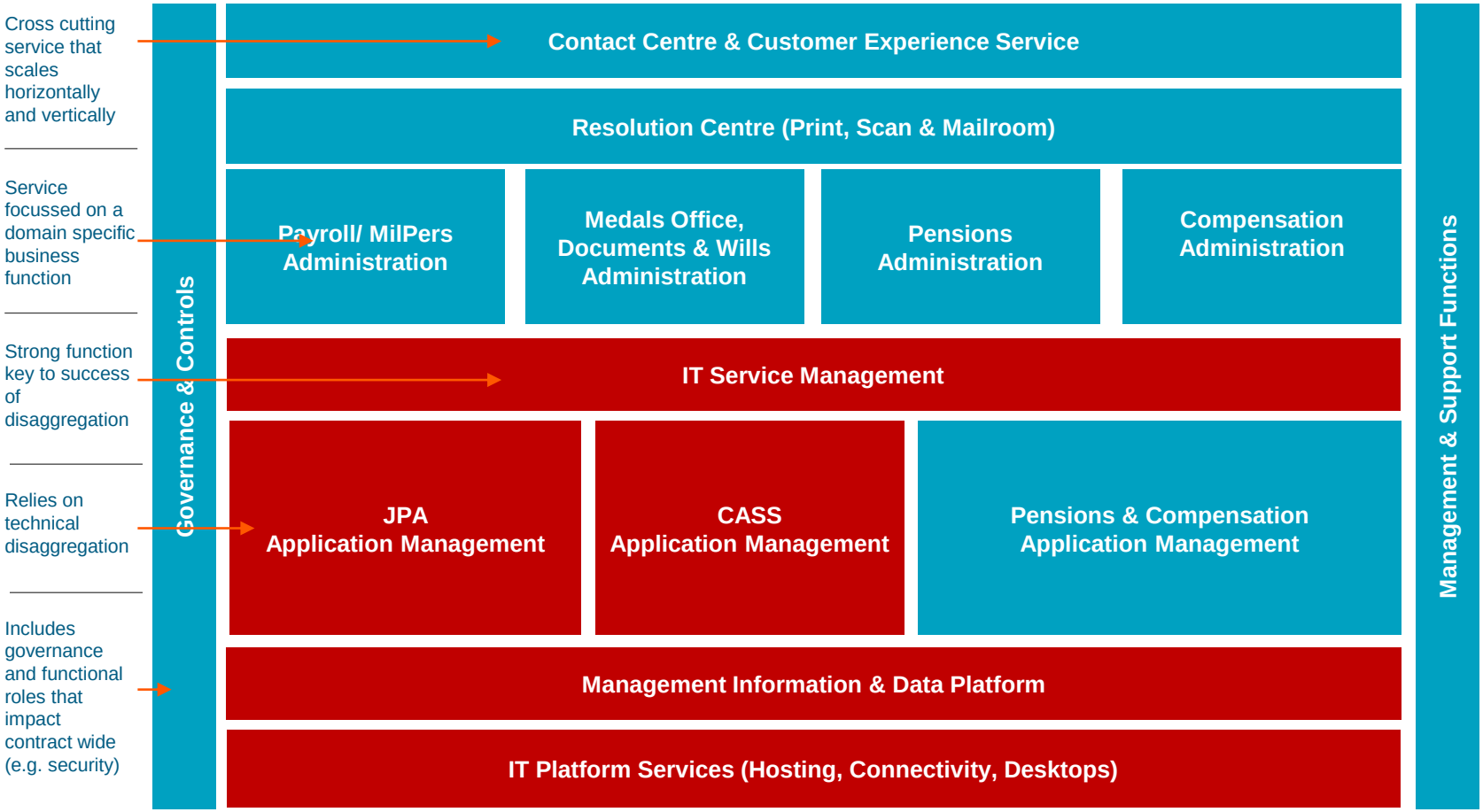
- We will also explore opportunities to recover further cash through Fujitsu milestones that fall in 2020

- Further opportunities (not included in base case) include:
  - work arising from McCloud remediation
  - Rate card change revenue
  - Transferring WIP

Scope protections

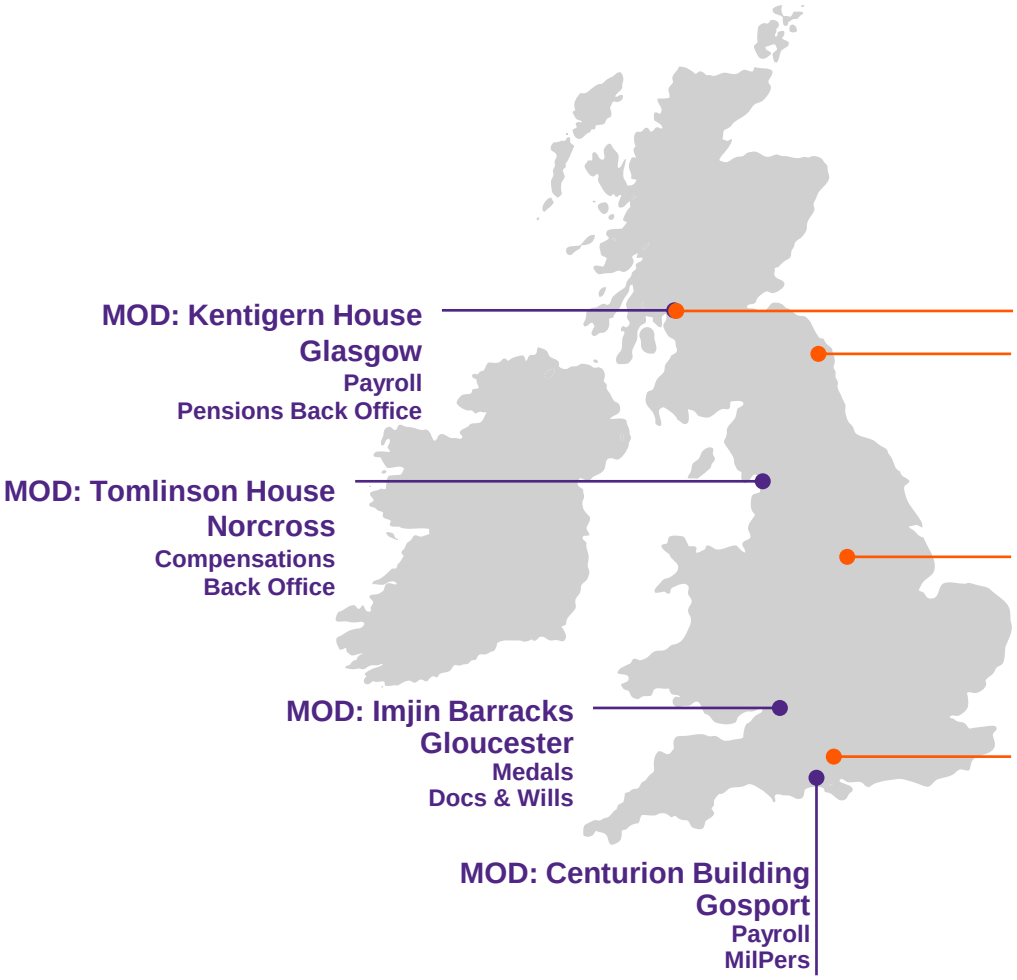
Allowable Assumptions (Post Contract Due Diligence)	▪ Assumptions on which contractual pricing is valid ▪ Defined in Agreement – cannot update post signature ▪ Can be invoked by Contractor and/or Authority. ▪ Each AA contains an expiry period, at which time verification must be complete, with a further 3 months to demonstrate to Authority that: the AA is inaccurate; the reason is not due to an act or omission of the Contractor; and as a result the Contractor costs have increased. ▪ Adjustment to Charges via a Change Request, with the Contractor able to obtain an appropriate change, with price calculation defined per AA.	**Key Assumptions:** • TUPE data is correct • Equiniti and Mitcheldean contract costs are correct until Transformation complete • Other third party contract costs are correct to their expiry dates, and the list is complete. • Legacy asset list used by DxC is complete, will transfer free of charge and has 2 years economic life remaining • No transferring work in progress
Authority Responsibilities	▪ Activities delivered by MoD or its third parties required by Contractor to deliver its obligations ▪ Valid for entire term ▪ Failure to perform Authority Responsibilities entitles Contractor to liability relief and compensation (including margin uplift) if Milestones are delayed.	**Key Responsibilities:** MoD will perform all of its transition and transformation responsibilities, and obligations contained in the rest of the Agreement A range of other requirements, including: • Use of Authority Premises • Connectivity between Authority sites. • Office equipment at Authority sites as listed • Postage costs from Authority sites • Provision of data extracts from Authority systems

Solution Overview: Capita/Fujitsu Service Model



Disaggregated service model aligned with Authority's objectives and service towers

Solution Overview: Locations



Capita SkyPark Glasgow

Enquiry Centre
Vets Helpline

-20m contacts pa
>70 clients
ISO9001, CCA Gold, PCI Compliance, BS7799

Capita ICS Darlington

Mail Room
Scan on demand

200m images p/a
750k archive boxes
c50 clients
ISO9001, BS7799, ISO27001

Capita ICS Mansfield

Bulk Print
Vets ID Cards
Hybrid Mail

80m packs p/a
>70 clients
ISO9001, BS7799, ISO27001

Fujitsu Bracknell

IT Service Mgt
Oracle Support
Agile Delivery

ISS provider
Oracle platinum
ITIL 3.0, ISSM5, List X, ISO27001, BS7799, ISO9001

Leveraging industry expertise and capability alongside MOD locations

Solution Overview: Major Initiatives

Customer Experience

- New customer contact centre with increased, quality, performance and MI
- Self Service portal for Veterans
- Portal for both MilPers Service Personnel and professional users
- Range of functional enhancements to JPA
- New Customer engagement and experience function
- Single view of the customer
- New service design approach focused on user experience

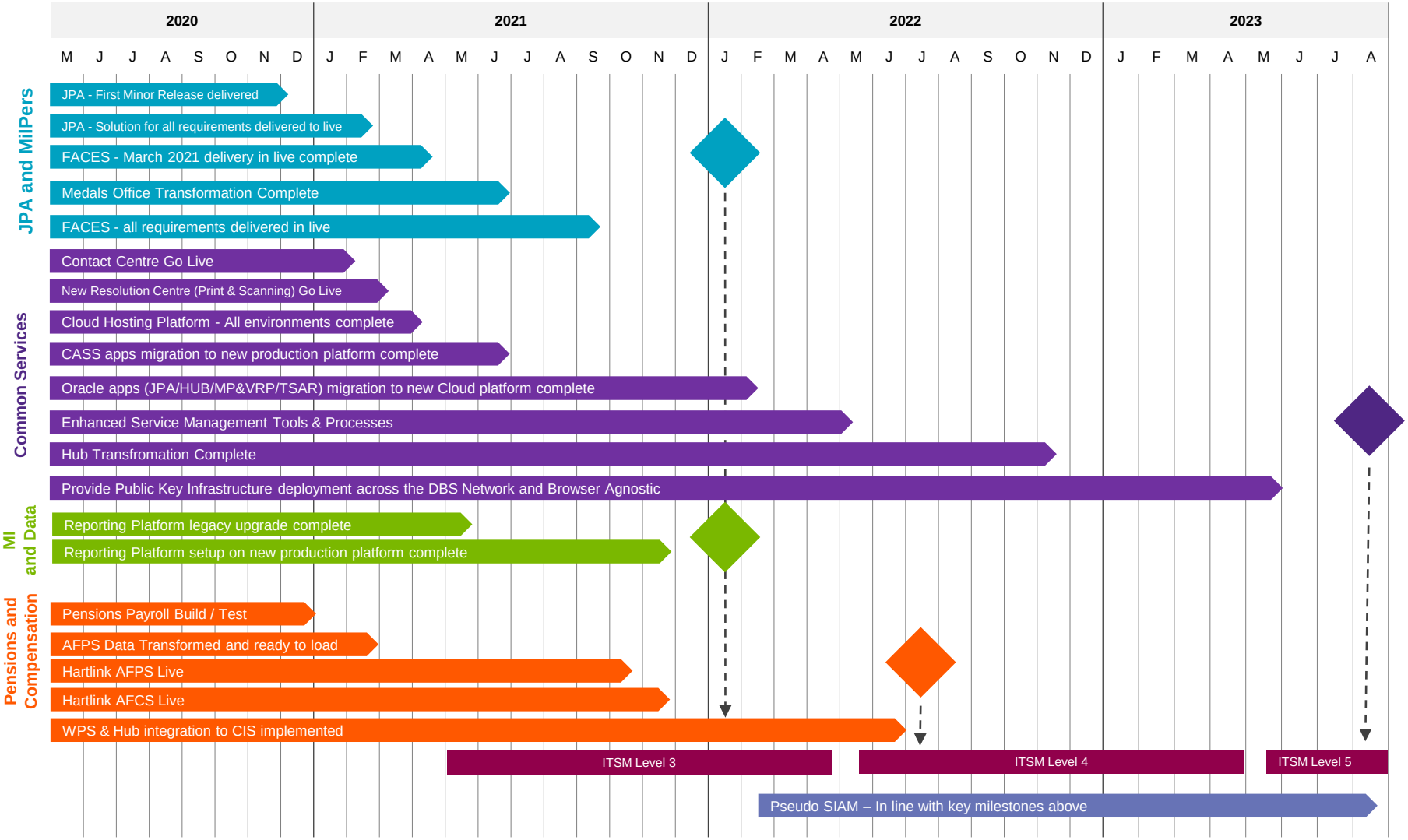
Service Quality & Performance

- Increased transparency and collaborative working
- Agile delivery and more effective delivery of change
- Enhanced IT Service Management and delivery capability
- Workflow and performance management across BPO functions
- Move to digital office and reduction in paper
- Recognition and certification to professional standards (ISAE3402)

Data & Technology

- Application Evergreening
- Migration to a secure and scalable cloud platform
- Application enhancements to deliver increased portability
- Consolidation and migration of all Pension and Compensation schemes onto ‘HartLink’
- Secure microservices based web tier, publishing HOL and FACES services
- A new Data Management & Insight platform, and new middleware integration platform
- New Resolution Centre service located at Capita’s bulk scanning and print service centres

Transformation Plan



Delivery team structure: planned one team approach

Note: SJ recruit = agreed plan with Steve Jordan to recruit ready to start 1 October

Executive Officer, People Solutions
Erika Bannerman

Executive Sponsorship: Erika Bannerman, EO People Solutions

Erika will ensure that the partnership is represented at a senior level in Capita and will provide oversight and strategic direction to the Partnership.

Governance, Risk & Controls Director

Relationship Manager (client approval)

Relationship Manager: TBD

Accountable for the success of the relationship, its financial performance and the development of the Partnership against Client Expectations.

- **Joint Client Engagement**
  - Fujitsu CEM
  - Capita CEM
  - MOD Stakeholder Group
  - Media & Comms Officer
- **Major Programme Director Nik Doyle / (SJ recruit)**
  - Transition Manager (SJ recruit)
  - PMO Manager (1 Mgr; 1 Analyst)
  - HR Integration (1.25 FTE)
  - Planning resource
  - Change (2 FTE)
  - Procurement
  - Contingency
  - Design Auth. Leader Mike Chellew / (SJ recruit)
    - Integration Manager
    - Release Manager
    - Test Manager
    - Architecture Pod (22 FTE)
  - Head of Change Portfolio
    - Culture & Capability Manager
    - Culture & Capability Assistant
  - Programme Director
    - Pensions and Comp
    - Common Services
    - MI and Data
    - JPA MilPers
    - Agile Teams
  - PMO Manager (SJ recruit)
    - Benefits Manager
    - PMO Analyst 1
    - PMO Analyst 2
- **Chief Operations Officer Peter Telford**
  - Contact Centre Operations Manager
    - Pensions Service Delivery Manager Helen Brown
    - Head of Payroll Mark Sherwood
    - Compensation Lead Jan Myatt
    - Medal Operations Manager
    - Resolution Centre Manager
  - Head of MI Insight & Analytics
  - IT Director Peter Smith (interim) Sandra Ashmore supporting recruitment
    - Enterprise Architect
    - IT Infrastructure Manager
    - Applications Service Delivery Manager
    - IT Service Manager
    - IT Security Assurance
- **SIAM / Intelligent Client Function (MI, SDM, SI)**
- **Finance Director Sharmila Dutt**
- **Commercial Director Martin McDon**
- **HR Business Partner Roma Corkett**

Key: Capita Oversight | Capita | Fujitsu | Transition Team

Delivery team structure: prepared for success (key roles by 1 Oct)

Note: SJ recruit = agreed plan with Steve Jordan to recruit ready to start 1 October

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Key: Capita Oversight | Capita | Fujitsu | Transition Team

Delivery team structure: T&T programme knowledge continuity

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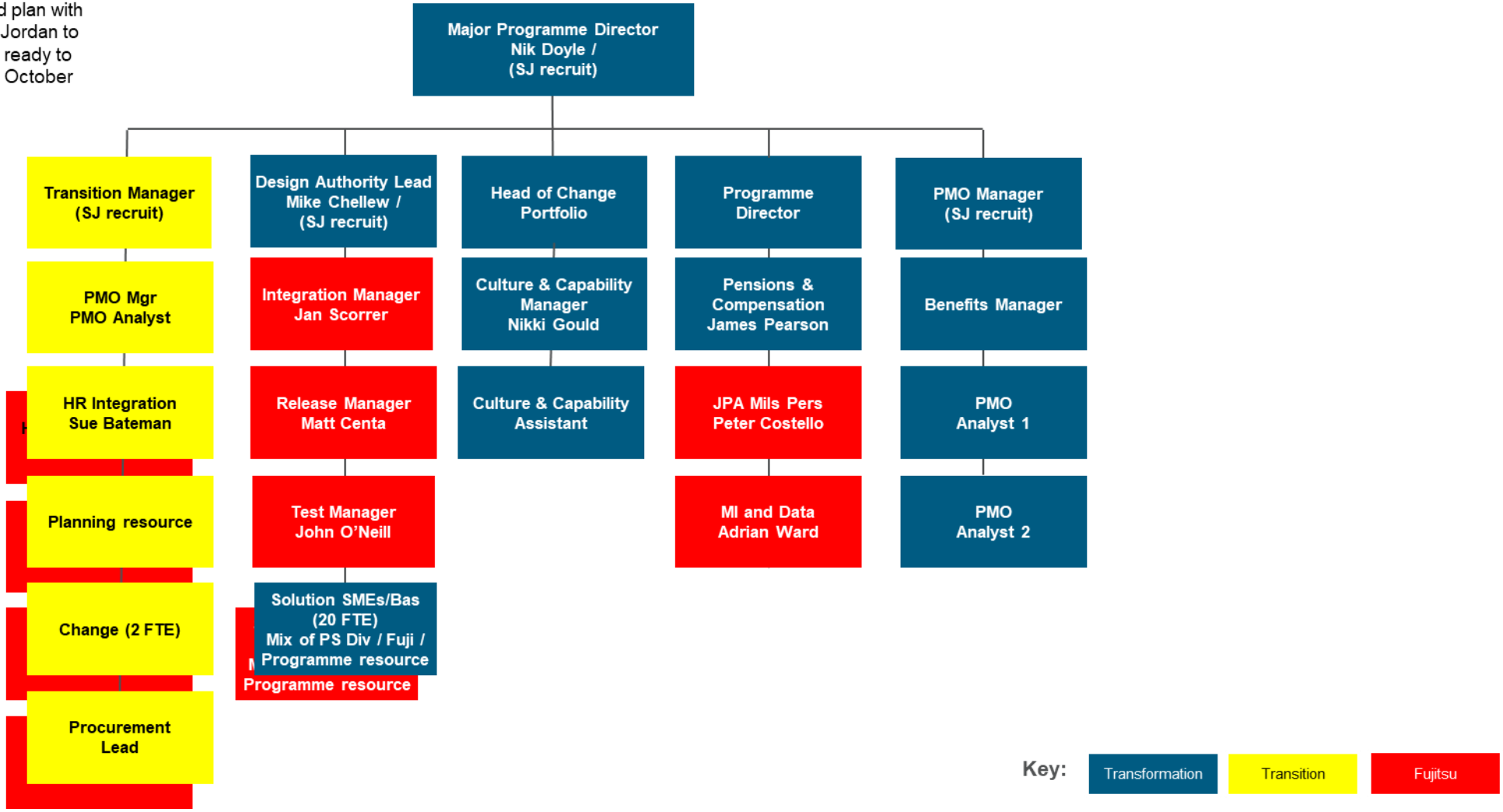

Key Pricing Information

Topic	Assumption	Notes
Contract duration	7 years post service commencement (13 May 2020)	
Contract start date	December 2020	
Contracting entity	CBSL	
Client fiscal year	N/A	
Proposed Capita site(s)	Glasgow (contact centre), Darlington (resolution centre), Mansfield (print & fulfilment)	
TUPE	Core: 463 FTE (inc. 73 temps via Manpower) of which 318 FTE to Capita, 145 FTE to Fujitsu, Options: Additional 164 FTE to Capita	TUPE true up included in contract
Policy attrition	None	
Team leader and op mgr ratio	CC – 1:15, Pensions 1:14, Compensation 1:13, Payroll 1:12	
Volumes	205,000 payroll, 1.1m pensions, 32,200 compensation cases pa	
Pensions	1.1m	
Payment terms	30 days post invoice acceptance	
Labour rates	Rate card at cost plus O/H, 25% margin Capita, 5% Fujitsu	No overhead on Fujitsu
Indexation	Years 2-7, 90% of Services Producer Price Index	
Infused Capita staff	Leadership team, risk and compliance overlay, DD and admin team	
Contract novations & 3rd Parties	Fujitsu key subcontractor, 158 novated contracts	Only 13 novated to Capita, rest to Fujitsu. Cost true up provisions included.
Charging mechanism	Milestone payments for Transition/Transformation, monthly fee for run	
Off-shore / near-shore related	No offshoring provisions in contract	
FX	N/A	
Change control allowance included in bid	£1m	
Cost of money	3%	
Capex requirements	0	
Gainshare/margin caps	Authority share - 0%-5% = 33%, 5-10% = 50%, >10% = 66%	Cumulative over 5 years, measured above bid margin
Risk contingency (for LD's, SC's, cost overruns etc)	£8,684,400	

CAPITA

Contract Review Committee
MOD FSDC (Future Services Delivery Contract)

15 July 2019

(Final pack - reissued 14 July)

Commercial in Confidence